

Seniors United Now

Position Paper: Public Service Pension Plans, Coordinated Pensions-Recovery for life

Seniors United Now (SUN) received a complaint that the Local Authorities Pension Plan contract regarding recovery of coordinated pensions for life is punitive and disadvantages seniors who enjoy longevity of life. The amount recovered is not in keeping with a fair and reasonable recovery for the amounts advanced.

The board of SUN undertook steps to investigate the extent this clause had a negative financial impact on SUN members. We placed a notice in our Sunburst newsletter and were surprised by the extent of the response we received. The board ascertained that concern over this clause was widespread and affected many of our members. We conclude that there is a significantly larger number of LAPP retirees that are negatively affected by the application of this clause.

SUN's pension reform committee, to ascertain the extent of individual members overpayments, asked our members to contact LAPP and request their personal information on the amount of funds advanced and the amount of funds recovered. The committee was advised by LAPP that the requirement of "recovery for life" was cost neutral. We believe that the recovery should be revenue neutral to the retirees that enjoy longevity of life.

SUN's review of the Public Service Pension Act of 1993 does not specify that there is a requirement for recovery for life. We therefore conclude that this is a LAPP policy. As such, we suggest that it is within the jurisdiction of the sponsor board of LAPP to change this contractual condition. We have communicated with Mr. Chris Brown, President and CEO, LAPP Corporation suggesting that LAPP review this policy and develop a fair and equitable sunset clause.

It is the position of the board of directors that the LAPP actuarial adjustments, used to set recovery amounts may not be fair and equitable to 80 year and plus retirees that are currently repaying for life.

The Board of directors of SUN is requesting that Public Interest Alberta, Seniors Task Force recognize that this recovery clause represents a senior's injustice and would publicly endorse SUN's position that the LAPP coordinated pension, recovery for life clause be amended to include a sunset clause.



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